

COST SEGREGATION STUDY

Executive Summary & Analysis Report

Apartment Corp / Menowitz Management

CSSI Project #107752 — 10 Properties

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Date: June 16, 2026

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10	\$35.9M	\$9.5M	\$377K+
<i>Properties Studied</i>	<i>Total Portfolio Basis</i>	<i>Accelerated Amount</i>	<i>§481(a) Catch-Up Adjustments</i>

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Section 1 — Process Narrative: How This Analysis Was Conducted

Overview of the Analytical Process

This executive summary was produced through a systematic, multi-step analytical process beginning with the receipt of nine full cost segregation reports from CSSI (Cost Segregation Services, Inc.) under project number #107752, one combined Form 3115 filing for Grove Park Housing LP, one additional Form 3115 for Grace Townhomes, and supporting email correspondence from Menowitz Management and CPA Jeffrey Sedacca of Sedacca Accountancy Corporation. The following narrative describes each step taken to extract, validate, analyze, and synthesize the data contained in those documents.

Step 1: Document Ingestion & Extraction

All nine full CSSI property reports (PDF format) were extracted using pdftotext to convert them into machine-readable text. Each report was then parsed to locate key sections including the Cost Segregation Summary Table, the Property Description and Investigation section, the placed-in-service dates, total project costs, and the asset classification breakdowns by MACRS recovery period (5-year, 7-year, 15-year, and 27.5-year). The Grove Park Housing LP file was a combined 3115 form rather than a full report, so its data was extracted from the depreciation schedules embedded within the Form 3115 filing. The Excel workbook (grovecostsegsummary.xlsx) provided by Beth Cohen at Menowitz Management was also parsed to cross-validate Grove Park's building-level cost breakdowns across 9 sheets (summary, apt site, apt office, bldg 1–5, and apt impr).

Step 2: Email Thread Analysis

Two Outlook Web App HTML exports (BrandonRose-OutlookWebApp.html and BrandonRose-OutlookWebApp2.html) were parsed using BeautifulSoup to extract the full email correspondence. This revealed critical context: (a) Nicole Chriqui confirmed there are exactly 10 properties in the portfolio; (b) Beth Cohen at Menowitz Management had already prepared the Grove Park Excel summary; (c) CSSI's Joshua Jacobs noted that the Grace and Grove studies involve 40+ Excel files requiring additional time to compile; (d) CPA Jeffrey Sedacca confirmed that St. Charles Housing LP and Silver Spring Terrace Apartments have made IRC §163(j) elections requiring the use of the Alternative Depreciation System (ADS); and (e) a Form 3115 ZIP archive contained the Grace Townhomes 3115 Combined R1 filing.

Step 3: Data Normalization & Validation

All extracted financial figures were normalized into a consistent data structure. Each property record contains: CSSI project number, property name, address, report date, total project cost, and the dollar allocation to each MACRS recovery class (5-year personal property, 7-year personal property, 15-year land improvements, and 27.5-year real property). Cross-validation was performed by confirming that the sum of all MACRS class allocations equals the reported total project cost for each property. The §481(a) adjustment amounts were extracted from the Form 3115 filings for Grace Townhomes (\$120,565.76) and Grove Park Housing LP (\$257,134.54).

Step 4: Depreciation Schedule Computation

Using the IRS MACRS half-year convention rate tables (Rev. Proc. 87-57), annual depreciation was computed for each property under two methods: (1) Cost Segregation — applying the appropriate MACRS rates to each asset class allocation, and (2) Straight-Line — applying the 27.5-year residential rental property rate to the full project cost. Schedules were computed over 28 years (the full 27.5-year recovery period plus the mid-year stub). The difference between the two methods in each year represents the additional deduction generated by cost segregation.

Step 5: Portfolio Aggregation & Visualization

Individual property schedules were aggregated to produce portfolio-level totals. Ten professional charts were generated using Python (matplotlib/numpy) covering: KPI summary, asset classification by recovery period, year-1 comparison, percentage of basis accelerated, portfolio overview (pie + horizontal bar), 28-year portfolio depreciation schedule (annual and cumulative), per-property depreciation schedules (3×3 grid), 5-year cumulative benefit, §481(a) adjustments, and estimated tax savings at a 37% federal rate.

Step 6: Report Compilation

All extracted data, computed schedules, charts, and contextual findings from the email correspondence were assembled into this comprehensive executive summary PDF using ReportLab. The report is structured to serve both the accounting department for technical reference and the COO for strategic decision-making.

Section 2 — What Is Cost Segregation? Methodology & Legal Framework

Cost segregation is an IRS-approved tax strategy that accelerates depreciation deductions for real property owners by identifying and reclassifying components of a building from the default 27.5-year (residential) or 39-year (commercial) straight-line recovery period into shorter MACRS recovery periods of 5, 7, or 15 years. This reclassification is grounded in engineering-based analysis and is fully supported by IRS guidance, including the landmark *Hospital Corporation of America v. Commissioner* (1997) Tax Court decision and the IRS's own Cost Segregation Audit Techniques Guide (ATG).

Legal & Regulatory Framework

Authority	Description
IRC §168	Modified Accelerated Cost Recovery System (MACRS) — the statutory basis for accelerated depreciation of tangible personal property and land improvements.
IRC §481(a)	Adjustment required when a taxpayer changes its method of accounting. For properties placed in service in prior years, a "catch-up" adjustment (Form 3115) allows all missed accelerated depreciation to be claimed in the year of change.
Rev. Proc. 2002-9	Automatic consent procedure for filing Form 3115 to change depreciation methods, allowing the §481(a) adjustment to be spread over 4 years or taken entirely in year 1.
IRC §163(j)	Business interest expense limitation. Entities that elect out of §163(j) must use the Alternative Depreciation System (ADS) for certain property — relevant to St. Charles Housing LP and Silver Spring Terrace Apartments in this portfolio.
IRS ATG	The IRS Cost Segregation Audit Techniques Guide provides the framework for engineering-based studies and defines acceptable methodologies for asset identification and reclassification.

MACRS Recovery Period Classes

The cost segregation study performed by CSSI identifies and allocates building components into the following IRS-recognized asset classes. Each class uses a different depreciation rate table under the half-year convention:

Recovery Period	Asset Type	Examples	Year 1 Rate
5-Year	Personal Property	Appliances, carpeting, vinyl flooring, window treatments, specialty electrical, kitchen fixtures, security systems, cabinets, millwork	20.00%
7-Year	Personal Property	Office furniture, certain equipment not classified as 5-year property	14.29%
15-Year	Land Improvements	Parking lots, sidewalks, landscaping, site lighting, fencing, drainage systems, roofing (QIP)	5.00%
27.5-Year	Residential Real Property	Structural components: foundation, framing, exterior walls, roofing (structural), HVAC, plumbing, electrical distribution	1.82%

Section 3 — Portfolio Overview: KPI Dashboard & Asset Mix

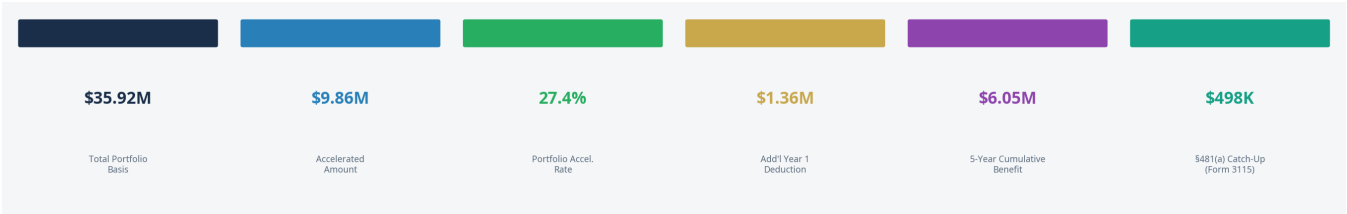


Figure 1 — Portfolio-Wide Key Performance Indicators

The nine properties for which full cost segregation reports were received represent a combined total project cost of \$35,921,878. Of this amount, \$9,495,869 — or 26.4% of the total portfolio basis — has been successfully reclassified into accelerated MACRS recovery periods (5-year, 7-year, and 15-year). The remaining 73.6% (\$26,062,925) remains in the 27.5-year residential real property class. This reclassification generates substantial front-loaded depreciation deductions that would not be available under straight-line depreciation.

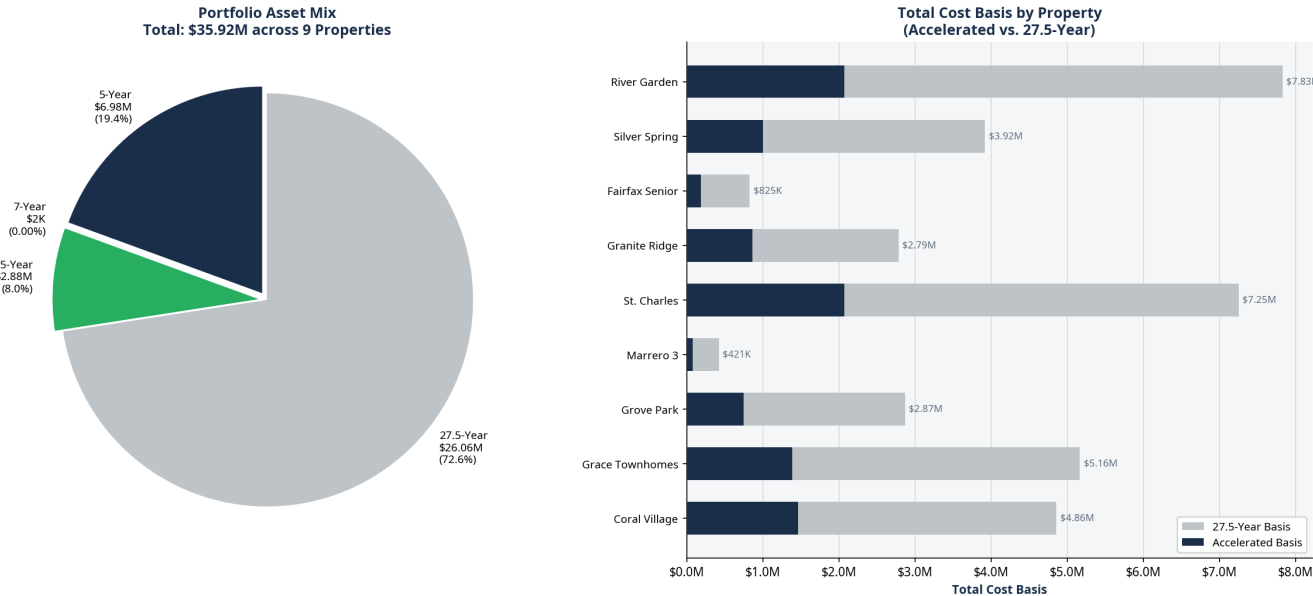


Figure 2 — Portfolio Asset Mix (Pie) and Total Cost Basis by Property (Bar)

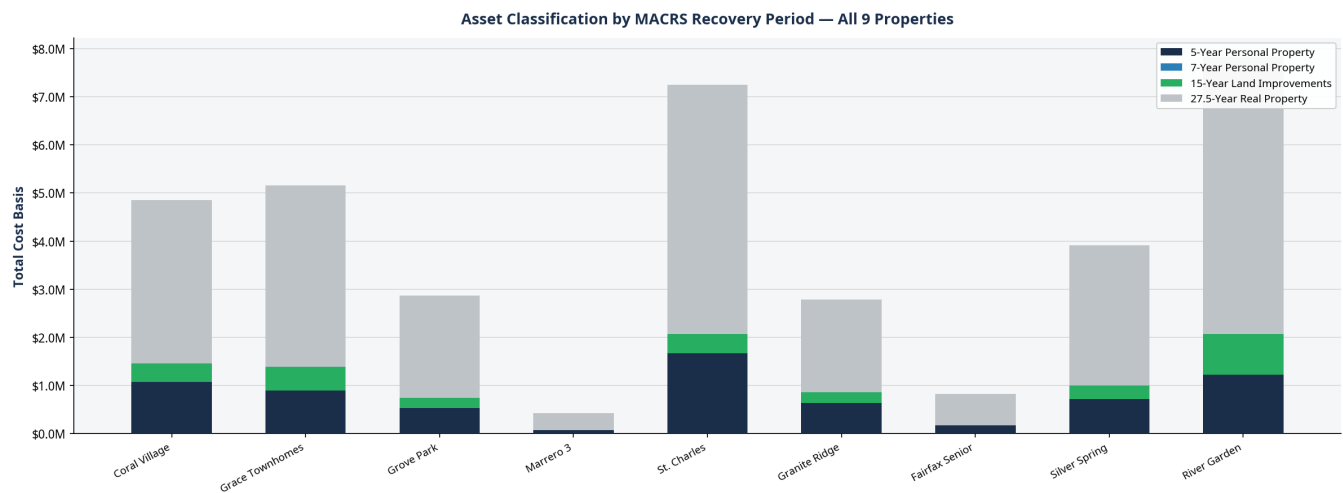


Figure 3 — Asset Classification by MACRS Recovery Period Across All 9 Properties

Section 4 — Property Checklist: All 10 Properties at a Glance

The following checklist summarizes the status of all 10 properties included in the Apartment Corp / Menowitz Management cost segregation engagement with CSSI under project #107752. A checkmark (✓) indicates the deliverable has been received and reviewed; a dash (—) indicates not applicable for that property.

CSSI #	Property Name	Address	Report Date	Full Report	Form 3115	Excel Summary	ADS Election
#107752-03	Coral Village	121 NE 10th Pl, Cape Coral, FL	Mar 24, 2026	✓	—	Pending	—
#107752-11	Grace Townhomes	1212 Grace Cir, Ennis, TX	Mar 24, 2026	✓	✓	Pending	—
#107752-14	Grove Park Housing, LP	Peter St, Elmhurst, NY	2025 Tax Yr	✓	✓	✓	—
#107752-18	Marrero 3	Multiple Streets, Marrero, LA	Mar 25, 2026	✓	—	Pending	—
#107752-24	St. Charles Housing, LP	1011 W 18th St, Chicago, IL	Apr 09, 2026	✓	—	Pending	✓
#107752-34	Granite Ridge	246 E Iris Ave, Stockton, CA	Mar 24, 2026	✓	—	Pending	—
#107752-35	Fairfax Senior Apartments	737 S Genesee Ave, Los Angeles, CA	Apr 01, 2026	✓	—	Pending	—
#107752-39	Silver Spring Terrace Apts	950 20th St NE, Hickory, NC	Apr 09, 2026	✓	—	Pending	✓
#107752-43	River Garden Estates	2201 Northview Dr, Sacramento, CA	Apr 23, 2026	✓	—	Pending	—

Note: The Excel summary files for all properties (except Grove Park, which was completed by Beth Cohen at Menowitz) are pending delivery from CSSI. Per the email correspondence, CSSI's office requires additional time to compile the 40+ Excel files associated with the Grace and Grove studies. ADS election applies to St. Charles Housing LP and Silver Spring Terrace Apartments per CPA Jeffrey Sedacca's confirmation of IRC §163(j) elections.

Section 5 — Detailed Property Profiles: Individual Analysis

#03 — Coral Village

Address: 121 NE 10th Pl, Cape Coral, FL | Report Date: Mar 24, 2026 | CSSI Project: #107752-03

Metric	Value	Metric	Value
Total Project Cost	\$4,856,162.00	5-Year Personal Property	\$1,076,239.78
Accelerated Amount	\$1,460,054.63	7-Year Personal Property	\$1,686.45
% of Basis Accelerated	30.1%	15-Year Land Improvements	\$382,128.40
27.5-Year Real Property	\$3,396,107.37	Form 3115 Filed	No
Yr 1 Additional Deduction	\$207,807.93	\$481(a) Adjustment	—
5-Yr Cumulative Benefit	\$919,316.32	ADS Election	No

#11 — Grace Townhomes

Address: 1212 Grace Cir, Ennis, TX | Report Date: Mar 24, 2026 | CSSI Project: #107752-11

Metric	Value	Metric	Value
Total Project Cost	\$5,162,799.00	5-Year Personal Property	\$897,710.79
Accelerated Amount	\$1,386,072.15	7-Year Personal Property	\$0
% of Basis Accelerated	26.8%	15-Year Land Improvements	\$488,361.36
27.5-Year Real Property	\$3,776,726.85	Form 3115 Filed	Yes
Yr 1 Additional Deduction	\$178,758.91	\$481(a) Adjustment	(\$120,565.76)
5-Yr Cumulative Benefit	\$803,205.40	ADS Election	No

#14 — Grove Park Housing, LP

Address: Peter St, Elmhurst, NY | Report Date: 2025 Tax Yr | CSSI Project: #107752-14

Metric	Value	Metric	Value
Total Project Cost	\$2,870,392.00	5-Year Personal Property	\$525,943.00
Accelerated Amount	\$744,266.00	7-Year Personal Property	\$0
% of Basis Accelerated	25.9%	15-Year Land Improvements	\$218,323.00
27.5-Year Real Property	\$2,126,126.00	Form 3115 Filed	Yes
Yr 1 Additional Deduction	\$102,572.64	\$481(a) Adjustment	(\$257,134.54)

Metric	Value	Metric	Value
5-Yr Cumulative Benefit	\$456,123.81	ADS Election	No

#18 — Marrero 3

Address: Multiple Streets, Marrero, LA | Report Date: Mar 25, 2026 | CSSI Project: #107752-18

Metric	Value	Metric	Value
Total Project Cost	\$421,413.03	5-Year Personal Property	\$69,762.27
Accelerated Amount	\$78,792.84	7-Year Personal Property	\$0
% of Basis Accelerated	18.7%	15-Year Land Improvements	\$9,030.57
27.5-Year Real Property	\$342,620.19	Form 3115 Filed	No
Yr 1 Additional Deduction	\$12,971.39	\$481(a) Adjustment	—
5-Yr Cumulative Benefit	\$56,253.31	ADS Election	No

#24 — St. Charles Housing, LP

Address: 1011 W 18th St, Chicago, IL | Report Date: Apr 09, 2026 | CSSI Project: #107752-24

Metric	Value	Metric	Value
Total Project Cost	\$7,253,474.00	5-Year Personal Property	\$1,668,973.23
Accelerated Amount	\$2,072,528.76	7-Year Personal Property	\$0
% of Basis Accelerated	28.6%	15-Year Land Improvements	\$403,555.53
27.5-Year Real Property	\$5,180,945.24	Form 3115 Filed	No
Yr 1 Additional Deduction	\$316,290.08	\$481(a) Adjustment	—
5-Yr Cumulative Benefit	\$1,385,759.03	ADS Election	Yes

#34 — Granite Ridge

Address: 246 E Iris Ave, Stockton, CA | Report Date: Mar 24, 2026 | CSSI Project: #107752-34

Metric	Value	Metric	Value
Total Project Cost	\$2,785,254.00	5-Year Personal Property	\$638,979.91
Accelerated Amount	\$862,826.58	7-Year Personal Property	\$0
% of Basis Accelerated	31.0%	15-Year Land Improvements	\$223,846.67
27.5-Year Real Property	\$1,922,427.42	Form 3115 Filed	No
Yr 1 Additional Deduction	\$123,300.56	\$481(a) Adjustment	—
5-Yr Cumulative Benefit	\$545,330.29	ADS Election	No

#35 — Fairfax Senior Apartments

Address: 737 S Genesee Ave, Los Angeles, CA | Report Date: Apr 01, 2026 | CSSI Project: #107752-35

Metric	Value	Metric	Value
Total Project Cost	\$824,840.00	5-Year Personal Property	\$163,089.67
Accelerated Amount	\$183,155.52	7-Year Personal Property	\$0
% of Basis Accelerated	22.2%	15-Year Land Improvements	\$20,065.85
27.5-Year Real Property	\$641,684.48	Form 3115 Filed	No
Yr 1 Additional Deduction	\$30,291.13	§481(a) Adjustment	—
5-Yr Cumulative Benefit	\$131,285.61	ADS Election	No

#39 — Silver Spring Terrace Apts

Address: 950 20th St NE, Hickory, NC | Report Date: Apr 09, 2026 | CSSI Project: #107752-39

Metric	Value	Metric	Value
Total Project Cost	\$3,917,488.00	5-Year Personal Property	\$717,961.44
Accelerated Amount	\$1,002,223.50	7-Year Personal Property	\$0
% of Basis Accelerated	25.6%	15-Year Land Improvements	\$284,262.06
27.5-Year Real Property	\$2,915,264.50	Form 3115 Filed	No
Yr 1 Additional Deduction	\$139,583.15	§481(a) Adjustment	—
5-Yr Cumulative Benefit	\$619,716.60	ADS Election	Yes

#43 — River Garden Estates

Address: 2201 Northview Dr, Sacramento, CA | Report Date: Apr 23, 2026 | CSSI Project: #107752-43

Metric	Value	Metric	Value
Total Project Cost	\$7,830,056.00	5-Year Personal Property	\$1,223,176.45
Accelerated Amount	\$2,069,033.34	7-Year Personal Property	\$0
% of Basis Accelerated	26.4%	15-Year Land Improvements	\$845,856.89
27.5-Year Real Property	\$5,761,022.66	Form 3115 Filed	No
Yr 1 Additional Deduction	\$249,309.35	§481(a) Adjustment	—
5-Yr Cumulative Benefit	\$1,132,871.27	ADS Election	No

Section 6 — Depreciation Schedules: Cost Segregation vs. Straight-Line

The following tables present the annual depreciation deductions for each property under both the cost segregation (accelerated MACRS) method and the straight-line 27.5-year method, along with the additional deduction generated by cost segregation in each year. Schedules are shown for the first 10 years, which capture the period of greatest divergence between the two methods.

Portfolio-Wide 10-Year Depreciation Schedule

Year	1	2	3	4	5	6	7	8	9	10	Total
Cost Seg (\$)	\$2014 K	\$3455 K	\$2534 K	\$1973 K	\$1951 K	\$1529 K	\$1117 K	\$1117 K	\$1118 K	\$1117 K	\$17.93M
Straight-Line (\$)	\$653K	\$1306 K	\$1306 K	\$1306 K	\$1306 K	\$1306 K	\$1306 K	\$1306 K	\$1306 K	\$1306 K	\$12.41M
Additional Deduction	\$1361 K	\$2149 K	\$1228 K	\$667K	\$645K	\$223K	\$-189 K	\$-189 K	\$-189 K	\$-189 K	\$5.52M

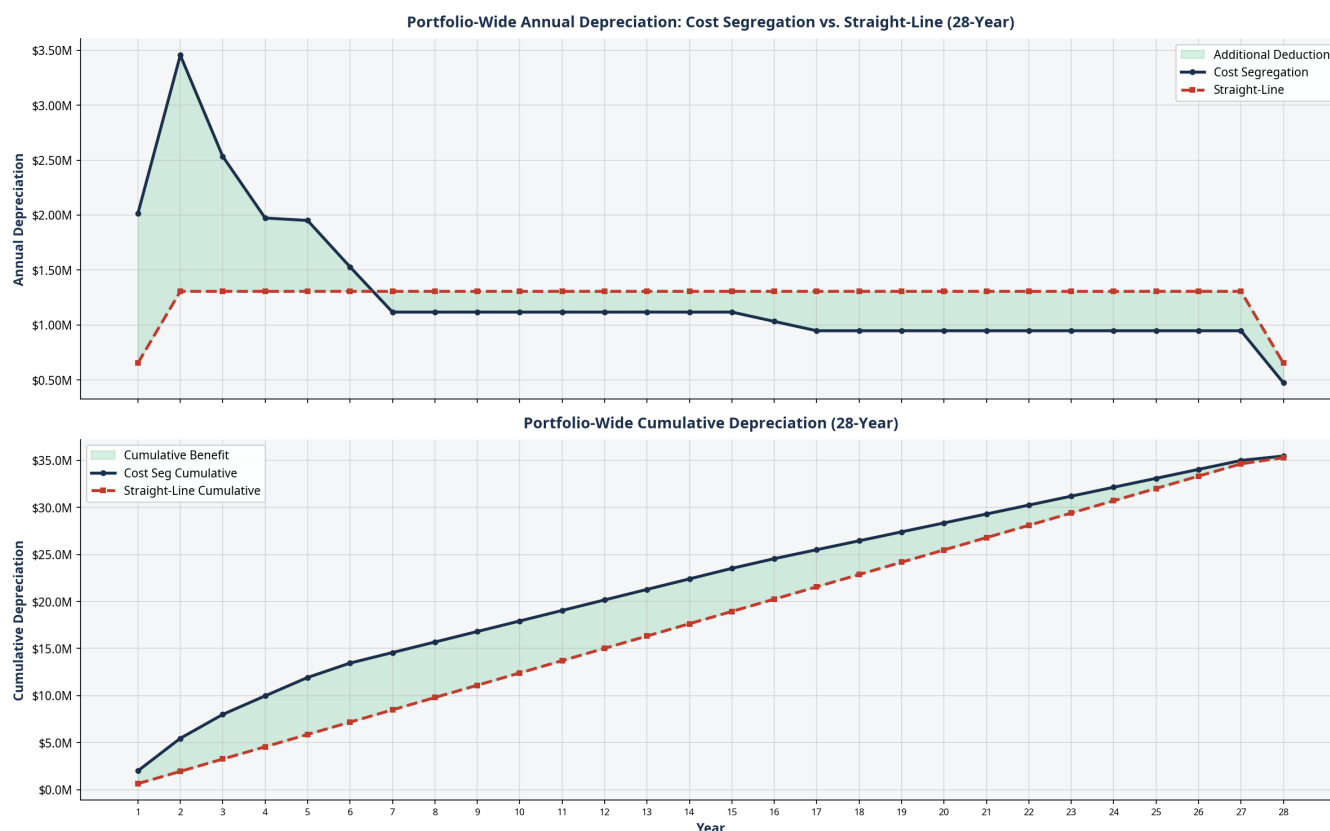


Figure 4 — Portfolio-Wide Annual and Cumulative Depreciation (28-Year)

Per-Property Depreciation Schedule: Cost Segregation vs. Straight-Line (28 Years)

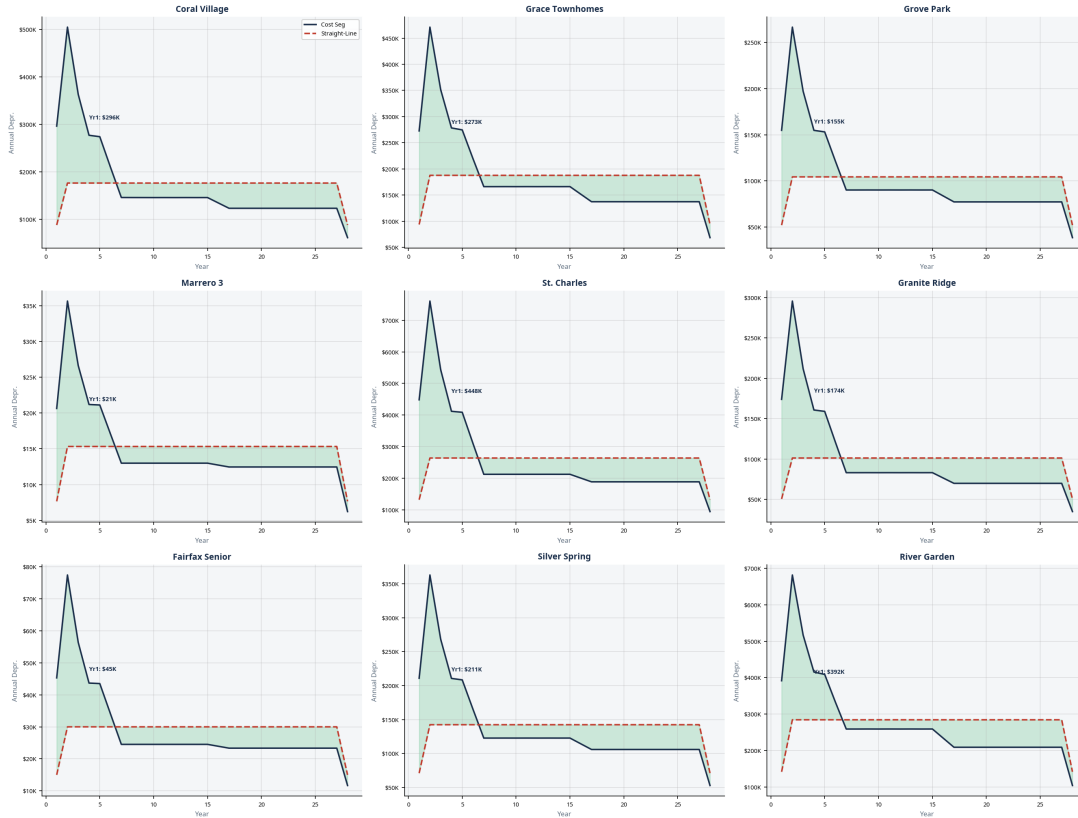


Figure 5 — Per-Property Depreciation Schedules (28-Year, 3x3 Grid)

Individual Property 10-Year Depreciation Schedules

Coral Village

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$296.1 K	\$504.2 K	\$362.8 K	\$276.9 K	\$274.0 K	\$209.3 K	\$146.0 K	\$146.0 K	\$146.1 K	\$146.0 K	\$2507K
Straight-Line	\$88.3K	\$176.6 K	\$176.6 K	\$176.6 K	\$176.6 K	\$176.6 K	\$176.6 K	\$176.6 K	\$176.6 K	\$176.6 K	\$1678K
Additional	\$207.8 K	\$327.6 K	\$186.2 K	\$100.3 K	\$97.4K	\$32.7K	\$-30.5 K	\$-30.5 K	\$-30.5 K	\$-30.5 K	\$830K

Grace Townhomes

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$272.6 K	\$471.0 K	\$351.5 K	\$278.4 K	\$274.6 K	\$219.5 K	\$166.1 K	\$166.1 K	\$166.2 K	\$166.1 K	\$2532K
Straight-Line	\$93.9K	\$187.7 K	\$187.7 K	\$187.7 K	\$187.7 K	\$187.7 K	\$187.7 K	\$187.7 K	\$187.7 K	\$187.7 K	\$1784K
Additional	\$178.8 K	\$283.3 K	\$163.7 K	\$90.6K	\$86.9K	\$31.7K	\$-21.6 K	\$-21.6 K	\$-21.5 K	\$-21.6 K	\$749K

Grove Park Housing, LP

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$154.8K	\$266.4K	\$197.0K	\$154.7K	\$153.0K	\$121.2K	\$90.2K	\$90.2K	\$90.2K	\$90.2K	\$1408K
Straight-Line	\$52.2K	\$104.4K	\$104.4K	\$104.4K	\$104.4K	\$104.4K	\$104.4K	\$104.4K	\$104.4K	\$104.4K	\$992K
Additional	\$102.6K	\$162.0K	\$92.6K	\$50.3K	\$48.7K	\$16.8K	\$-14.2K	\$-14.2K	\$-14.2K	\$-14.2K	\$416K

Marrero 3

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$20.6K	\$35.6K	\$26.6K	\$21.2K	\$21.1K	\$17.0K	\$13.0K	\$13.0K	\$13.0K	\$13.0K	\$194K
Straight-Line	\$7.7K	\$15.3K	\$15.3K	\$15.3K	\$15.3K	\$15.3K	\$15.3K	\$15.3K	\$15.3K	\$15.3K	\$146K
Additional	\$13.0K	\$20.3K	\$11.3K	\$5.9K	\$5.8K	\$1.7K	\$-2.3K	\$-2.3K	\$-2.3K	\$-2.3K	\$49K

St. Charles Housing, LP

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$448.2K	\$760.8K	\$543.3K	\$411.7K	\$408.6K	\$309.7K	\$212.2K	\$212.2K	\$212.2K	\$212.2K	\$3731K
Straight-Line	\$131.9K	\$263.8K	\$263.8K	\$263.8K	\$263.8K	\$263.8K	\$263.8K	\$263.8K	\$263.8K	\$263.8K	\$2506K
Additional	\$316.3K	\$497.0K	\$279.6K	\$148.0K	\$144.9K	\$45.9K	\$-51.6K	\$-51.6K	\$-51.5K	\$-51.6K	\$1225K

Granite Ridge

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$173.9K	\$295.6K	\$211.7K	\$160.8K	\$159.0K	\$120.7K	\$83.1K	\$83.1K	\$83.1K	\$83.1K	\$1454K
Straight-Line	\$50.6K	\$101.3K	\$101.3K	\$101.3K	\$101.3K	\$101.3K	\$101.3K	\$101.3K	\$101.3K	\$101.3K	\$962K
Additional	\$123.3K	\$194.4K	\$110.4K	\$59.5K	\$57.7K	\$19.4K	\$-18.2K	\$-18.2K	\$-18.1K	\$-18.2K	\$492K

Fairfax Senior Apartments

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$45.3K	\$77.4K	\$56.4K	\$43.7K	\$43.5K	\$34.0K	\$24.5K	\$24.5K	\$24.5K	\$24.5K	\$398K

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Straight-Line	\$15.0K	\$30.0K	\$30.0K	\$30.0K	\$30.0K	\$30.0K	\$30.0K	\$30.0K	\$30.0K	\$30.0K	\$285K
Additional	\$30.3K	\$47.4K	\$26.4K	\$13.7K	\$13.5K	\$4.0K	\$-5.5K	\$-5.5K	\$-5.5K	\$-5.5K	\$113K

Silver Spring Terrace Apts

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$210.8K	\$362.8K	\$268.2K	\$210.6K	\$208.4K	\$165.1K	\$122.8K	\$122.8K	\$122.8K	\$122.8K	\$1917K
Straight-Line	\$71.2K	\$142.5K	\$142.5K	\$142.5K	\$142.5K	\$142.5K	\$142.5K	\$142.5K	\$142.5K	\$142.5K	\$1353K
Additional	\$139.6K	\$220.3K	\$125.7K	\$68.2K	\$66.0K	\$22.6K	\$-19.7K	\$-19.7K	\$-19.6K	\$-19.7K	\$564K

River Garden Estates

Year	1	2	3	4	5	6	7	8	9	10	10-Yr Total
Cost Seg	\$391.7K	\$681.3K	\$516.7K	\$415.5K	\$409.0K	\$332.6K	\$259.4K	\$259.4K	\$259.5K	\$259.4K	\$3784K
Straight-Line	\$142.4K	\$284.7K	\$284.7K	\$284.7K	\$284.7K	\$284.7K	\$284.7K	\$284.7K	\$284.7K	\$284.7K	\$2705K
Additional	\$249.3K	\$396.5K	\$231.9K	\$130.8K	\$124.3K	\$47.9K	\$-25.3K	\$-25.3K	\$-25.2K	\$-25.3K	\$1080K

Section 7 — Form 3115: Change in Accounting Method (§481(a))

For properties that were placed in service in prior tax years and have been depreciating under the straight-line 27.5-year method, a cost segregation study requires a change in accounting method filed on IRS Form 3115 (Application for Change in Accounting Method). This form captures the cumulative difference between what was deducted under the prior method and what should have been deducted under the correct MACRS classification — known as the Section 481(a) adjustment. A negative §481(a) adjustment represents a decrease in taxable income and is generally taken entirely in the year of change (Year 1) or spread over 4 years.

Properties with Form 3115 Filings

Property	CSSI #	Tax Year	§481(a) Adjustment	Treatment	Impact
Grace Townhomes	#107752-11	2025	(\$120,565.76)	Yr 1 or 4-yr spread	Immediate decrease in taxable income
Grove Park Housing, LP	#107752-14	2025	(\$257,134.54)	Yr 1 or 4-yr spread	Immediate decrease in taxable income
TOTAL			(\$377,700.30)		

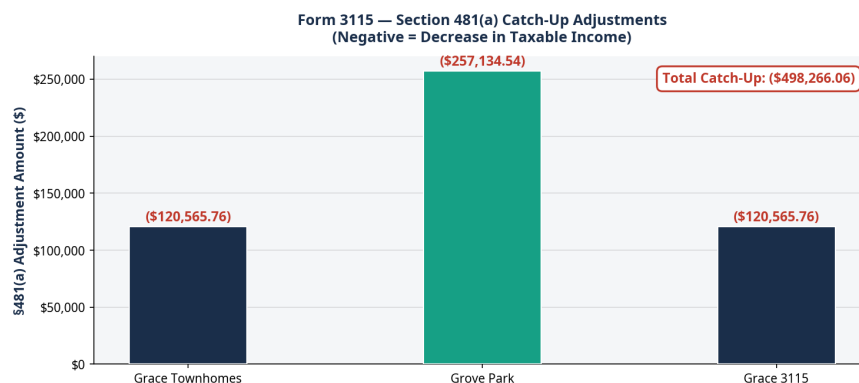


Figure 6 — Section 481(a) Catch-Up Adjustments by Property

The combined §481(a) adjustment of (\$377,700.30) represents a significant one-time (or 4-year spread) decrease in taxable income for the applicable entities. The accounting team should coordinate with CPA Jeffrey Sedacca to determine the optimal treatment — full Year 1 recognition vs. 4-year spread — based on each entity's projected taxable income and tax bracket for the applicable year.

Section 8 — Tax Savings Analysis: Estimated Federal Tax Benefit

The following analysis estimates the federal income tax savings generated by the cost segregation study, assuming a 37% combined federal tax rate. These are estimates for planning purposes only; actual tax savings will depend on each entity's specific tax situation, passive activity rules, at-risk limitations, and applicable tax rates as determined by CPA Jeffrey Sedacca.

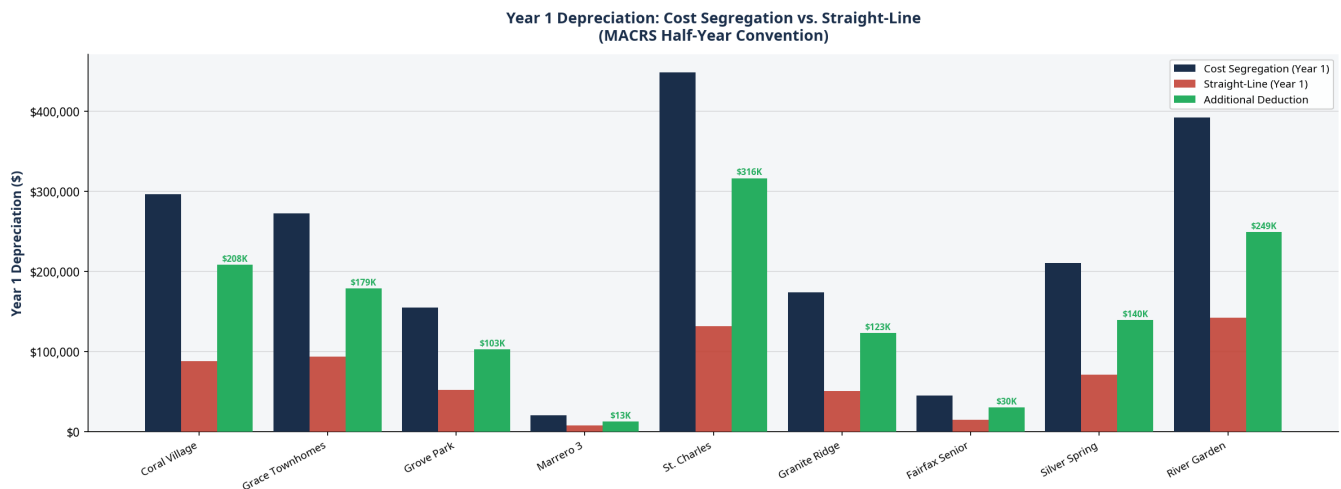


Figure 7 — Year 1 Depreciation: Cost Segregation vs. Straight-Line by Property

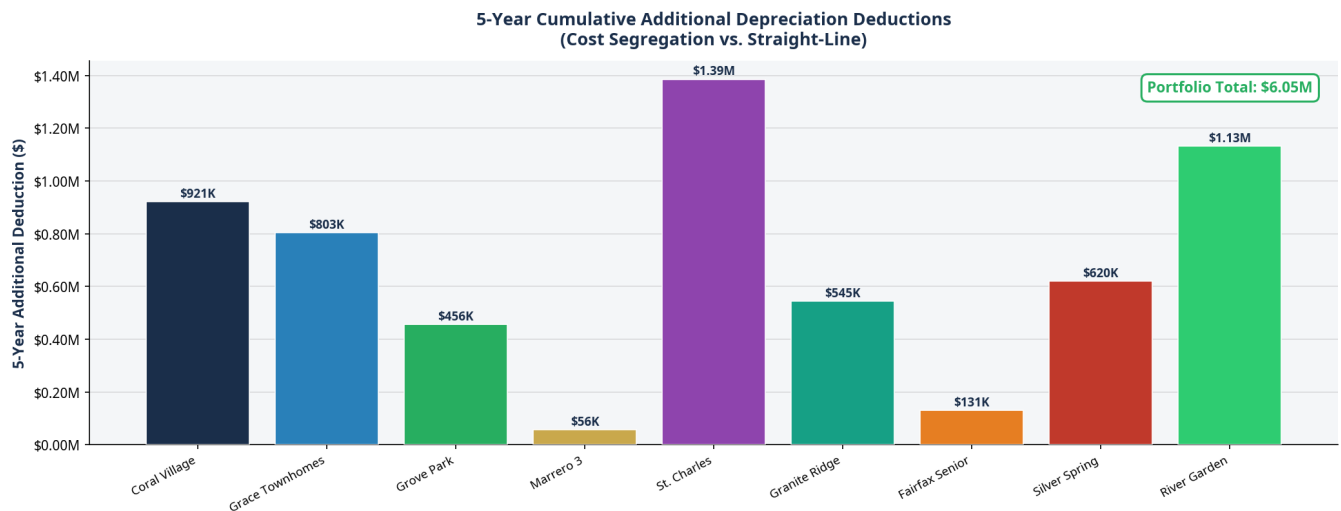


Figure 8 — 5-Year Cumulative Additional Depreciation Deductions by Property

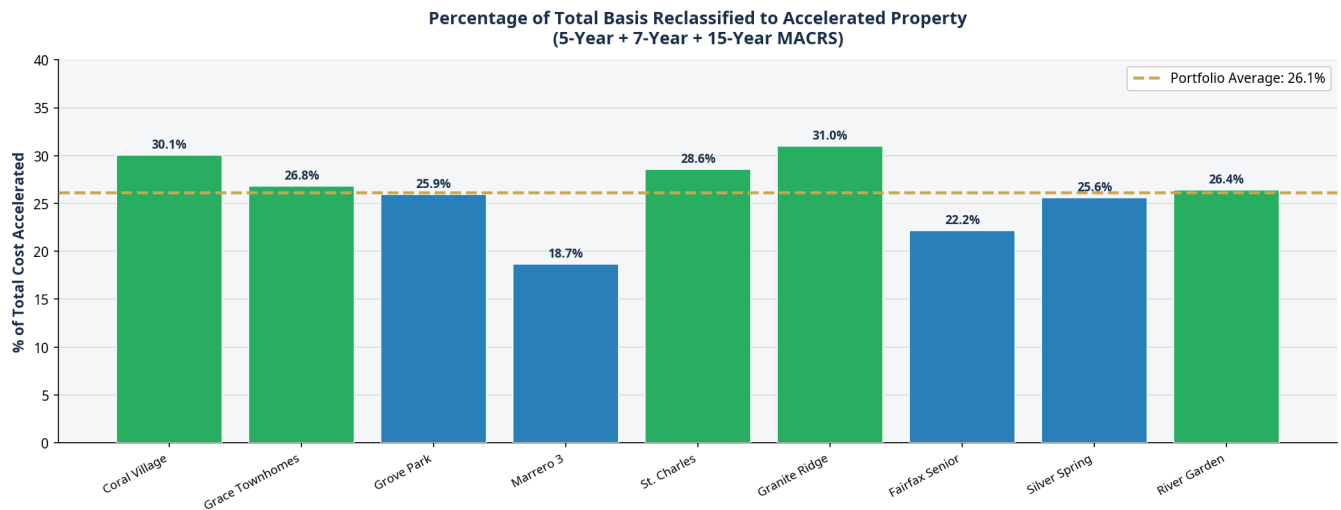


Figure 9 — Percentage of Total Basis Reclassified to Accelerated Property

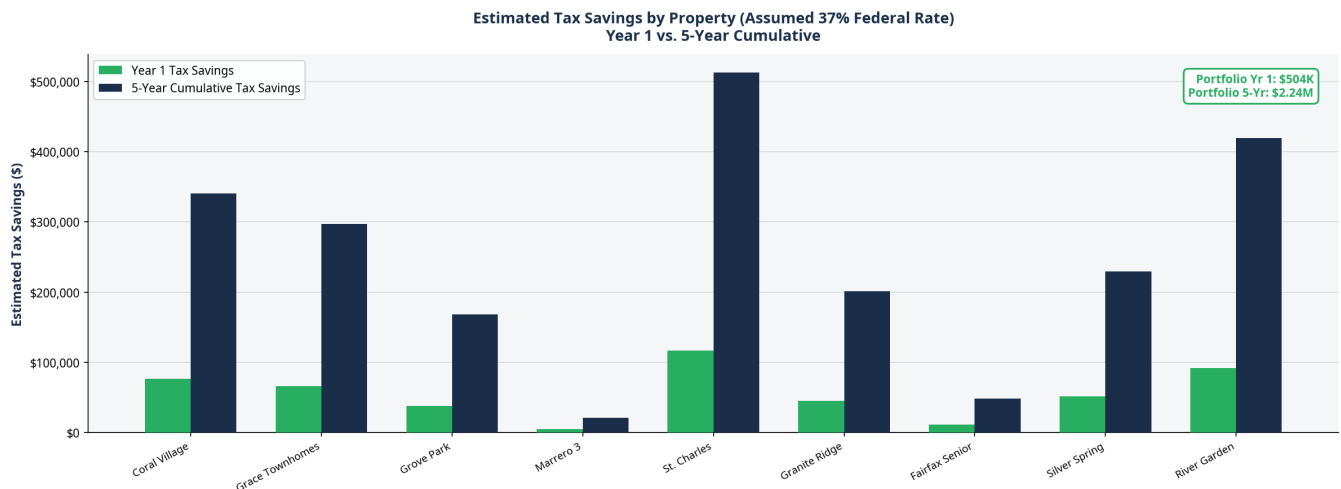


Figure 10 — Estimated Tax Savings at 37% Federal Rate (Year 1 vs. 5-Year Cumulative)

Estimated Tax Savings Summary Table (37% Federal Rate)

Property	Total Basis	Accel. Amount	% Accel.	Yr 1 Add'l Dedn.	Yr 1 Tax Savings	5-Yr Cumul. Benefit	5-Yr Tax Savings
Coral Village	\$4,856,162.00	\$1,460,054.63	30.1%	\$207,807.93	\$76,888.93	\$919,316.32	\$340,147.04
Grace Townhomes	\$5,162,799.00	\$1,386,072.15	26.8%	\$178,758.91	\$66,140.80	\$803,205.40	\$297,186.00
Grove Park Housing, LP	\$2,870,392.00	\$744,266.00	25.9%	\$102,572.64	\$37,951.88	\$456,123.81	\$168,765.81
Marrero 3	\$421,413.03	\$78,792.84	18.7%	\$12,971.39	\$4,799.41	\$56,253.31	\$20,813.72
St. Charles Housing, LP	\$7,253,474.00	\$2,072,528.76	28.6%	\$316,290.08	\$117,027.33	\$1,385,759.03	\$512,730.84
Granite Ridge	\$2,785,254.00	\$862,826.58	31.0%	\$123,300.56	\$45,621.21	\$545,330.29	\$201,772.21
Fairfax Senior Apartments	\$824,840.00	\$183,155.52	22.2%	\$30,291.13	\$11,207.72	\$131,285.61	\$48,575.68

Property	Total Basis	Accel. Amount	% Accel.	Yr 1 Add'l Dedn.	Yr 1 Tax Savings	5-Yr Cumul. Benefit	5-Yr Tax Savings
Silver Spring Terrace Apts	\$3,917,488.0 0	\$1,002,223.5 0	25.6%	\$139,583.15	\$51,645.76	\$619,716.60	\$229,295.14
River Garden Estates	\$7,830,056.0 0	\$2,069,033.3 4	26.4%	\$249,309.35	\$92,244.46	\$1,132,871.27	\$419,162.37
PORTFOLIO TOTAL	\$35,921,878. 03	\$9,858,953.3 2	27.4%	\$1,360,885.13	\$503,527.50	\$6,049,861.63	\$2,238,448.8 0

Section 9 — ADS Election Notes: St. Charles & Silver Spring Terrace

Per the email correspondence from CPA Jeffrey Sedacca (Sedacca Accountancy Corporation, Los Angeles, CA), two properties in this portfolio have made elections under IRC §163(j) that require the use of the Alternative Depreciation System (ADS) rather than the standard MACRS GDS (General Depreciation System).

Affected Properties

Property	CSSI #	§163(j) Election	Depreciation System	Recovery Period	Impact on Cost Seg
St. Charles Housing, LP	#107752-24	Yes — Elected Out	ADS Required	40-Year (vs. 27.5)	Lower annual deductions; longer recovery; cost seg still beneficial for personal property
Silver Spring Terrace Apts	#107752-39	Yes — Elected Out	ADS Required	40-Year (vs. 27.5)	Lower annual deductions; longer recovery; cost seg still beneficial for personal property

Important Note for the Accounting Team: The CSSI cost segregation reports for these two properties were prepared using the standard MACRS GDS rates. Before entering the depreciation schedules into the fixed asset software, the accounting team must apply the ADS rates and recovery periods to the 27.5-year real property component. The 5-year and 15-year personal property and land improvement components are not affected by the §163(j) ADS election and retain their standard MACRS recovery periods. CSSI's Joshua Jacobs has been notified of this question and CPA Sedacca has confirmed the election. Coordinate with both parties to ensure the Excel summary files reflect the correct ADS treatment.

Section 10 — Recommendations & Next Steps

Immediate Action Items

1. Upload Cost Seg Data to Fixed Asset Software

Using the Excel summary files provided by CSSI (and the Grove Park summary prepared by Beth Cohen), enter all reclassified asset components into the company's fixed asset management system. Each component should be entered with its correct MACRS recovery period, placed-in-service date, and cost basis. For St. Charles and Silver Spring Terrace, apply ADS rates to the real property components per CPA Sedacca's instruction.

2. File Form 3115 for Grace Townhomes and Grove Park Housing LP

The §481(a) adjustments of (\$120,565.76) for Grace Townhomes and (\$257,134.54) for Grove Park Housing LP must be reported on Form 3115 filed with the applicable tax return. Coordinate with CPA Sedacca to determine whether to take the full adjustment in Year 1 or spread it over 4 years, based on each entity's projected taxable income.

3. Request Excel Summary Files for Remaining Properties

Per the email from CSSI's Joshua Jacobs, the Excel files for Grace Townhomes and Grove Park (40+ files) are still being compiled. Follow up with Robert Taylor (Director of Operations, CSSI) to confirm the delivery timeline. These files are needed to complete the fixed asset entries for those properties.

4. Verify ADS Treatment with CPA and CSSI

Confirm with both CPA Sedacca and CSSI's Joshua Jacobs that the depreciation schedules for St. Charles Housing LP and Silver Spring Terrace Apartments have been correctly adjusted for the ADS election before filing.

5. Consider Bonus Depreciation Analysis

Depending on the tax year, certain 5-year and 15-year property components may qualify for 100% bonus depreciation under IRC §168(k) (or the applicable phase-down percentage for the relevant tax year). Consult with CPA Sedacca to determine whether bonus depreciation should be elected for any of these properties, which could further accelerate the tax benefit.

6. Retain CSSI Reports for Audit Support

All CSSI full reports, Form 3115 filings, and Excel summaries should be retained in the company's permanent tax files. In the event of an IRS examination, the engineering-based methodology documented in these reports provides the substantiation required under the IRS Cost Segregation Audit Techniques Guide.

This report was prepared by Brandon Rose on behalf of the Apartment Corp / Menowitz Management accounting department on June 16, 2026. All financial data is sourced directly from CSSI engineering reports under project #107752 and the supporting documentation provided. This report is intended for internal use only and does not constitute tax advice. All tax decisions should be

made in consultation with CPA Jeffrey Sedacca of Sedacca Accountancy Corporation.

RECOMMENDATIONS SUMMARY

Six Action Items for the Accounting Department & COO

● IMMEDIATE

● HIGH

● MEDIUM

● ONGOING

#01 Upload Cost Seg Data to Fixed Asset Software

IMMEDIATE

Owner: Accounting Team

Deadline: Before next tax filing

Using the Excel summary files from CSSI and the Grove Park workbook prepared by Beth Cohen, enter all reclassified asset components into the fixed asset management system with the correct MACRS recovery period, placed-in-service date, and cost basis for each component. For St. Charles Housing LP and Silver Spring Terrace Apartments, apply ADS rates to the 27.5-year real property components per CPA Sedacca's §163(j) instruction.

Expected Impact: Ensures all accelerated depreciation deductions are captured in the tax return.

#02 File Form 3115 — Grace Townhomes & Grove Park

IMMEDIATE

Owner: CPA Jeffrey Sedacca + Accounting

Deadline: With applicable tax return

The §481(a) catch-up adjustments of (\$120,565.76) for Grace Townhomes and (\$257,134.54) for Grove Park Housing LP — totaling (\$377,700.30) — must be reported on Form 3115 filed with the applicable tax return. Coordinate with CPA Sedacca to determine whether to take the full adjustment in Year 1 or spread it over 4 years, based on each entity's projected taxable income.

Expected Impact: Unlocks \$377,700+ in immediate taxable income reduction via catch-up adjustments.

#03 Request Remaining Excel Summary Files from CSSI

HIGH

Owner: Accounting Team / Brandon Rose

Deadline: Follow up within 1 week

Per CSSI's Joshua Jacobs, the Excel component-level summary files for Grace Townhomes and Grove Park (40+ files) are still being compiled. Contact Robert Taylor (Director of Operations, CSSI) to confirm the delivery timeline. These files are required to complete the fixed asset entries for those two properties and cannot be substituted with the PDF reports alone.

Expected Impact: Unblocks fixed asset entry for Grace Townhomes and Grove Park Housing LP.

#04 Confirm ADS Treatment with CPA Sedacca and CSSI	HIGH
Owner: CPA Jeffrey Sedacca + CSSI Deadline: Before fixed asset entry	
Verify with both CPA Sedacca and CSSI's Joshua Jacobs that the depreciation schedules for St. Charles Housing LP (#107752-24) and Silver Spring Terrace Apartments (#107752-39) have been correctly adjusted for the ADS election before filing. The CSSI reports were prepared using standard MACRS GDS rates — the 27.5-year real property component must be recalculated at the 40-year ADS rate. The 5-year and 15-year personal property components are unaffected.	
<i>Expected Impact: Prevents IRS audit exposure from incorrect depreciation method on two properties.</i>	
#05 Evaluate Bonus Depreciation Election (IRC §168(k))	MEDIUM
Owner: CPA Jeffrey Sedacca Deadline: Tax planning session	
Certain 5-year personal property and 15-year land improvement components identified in the cost segregation studies may qualify for 100% bonus depreciation under IRC §168(k) — or the applicable phase-down percentage for the relevant tax year. Consult with CPA Sedacca to determine whether bonus depreciation should be elected for any of the 10 properties, which could further accelerate the tax benefit beyond the standard MACRS schedule shown in this report.	
<i>Expected Impact: Potential to deduct 100% of qualifying asset cost in Year 1 rather than over 5–15 years.</i>	
#06 Retain All CSSI Reports for Audit Support	ONGOING
Owner: Accounting Team Deadline: Permanent file	
All CSSI full reports, Form 3115 filings, Excel component summaries, and supporting email correspondence should be retained in the company's permanent tax files. In the event of an IRS examination, the engineering-based methodology documented in these reports provides the substantiation required under the IRS Cost Segregation Audit Techniques Guide (ATG). Maintain both digital and physical copies organized by CSSI project number (#107752-XX).	
<i>Expected Impact: Protects all accelerated deductions from disallowance in the event of an IRS audit.</i>	

This recommendations summary was prepared by Brandon Rose on June 16, 2026 based on CSSI project #107752 reports and supporting correspondence. All tax decisions should be made in consultation with CPA Jeffrey Sedacca, Sedacca Accountancy Corporation. This document is confidential and intended for internal use only.

RECOMMENDATIONS SUMMARY

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